

Social Welfare Loss

— Commitment
- - Discretion

$$\frac{\bar{b}^2}{2a}$$

$$\frac{\bar{q}\bar{b}^2}{2a}$$

$$\left(\frac{1-\bar{q}}{1+\bar{q}}\right) \frac{\bar{b}}{a}$$

$$\bar{b}/a$$

Inflation (π)

Optimal with
commitment

Discretionary
equilibrium

enforceable rule

